

Korea — Construction Cycle → Housing Scarcity → Property Cycle

Date: 2026-06-05 Author: ad@rvcapital

The construction cycle in Korea is the *supply* leg of property — it sets the pipeline of new units 18–30 months out. When construction slumps while household balance sheets / wealth keep growing, the supply-demand gap eventually closes via property prices. This note maps the 12-year history of that pattern using IMDR data (`BOK.GDP.CONSTR_INV.YOY.KR` , `KOSTAT.IIP.CONSTRUCTION.SA.KR` , `BOK.LOANS.HH.HOUSING.KR` , `REB` apt indices) and identifies the past episodes where wealth rose into a construction slump — and what property did afterwards.

What each chart in this note is for

#	Chart	Question it answers
1	Construction Production Index 2014-26	Where is the supply pipeline now vs the cycle? Visual confirmation of how deep the supply hole goes.
2	Construction Investment YoY	How severe is the current contraction in historical terms? Quarterly real growth — recession-bar style.
3	Seoul vs Nat housing (2012-26)	Does Seoul lead or lag the nationwide cycle? Is the gap widening? Full-cycle history rebased to 2020=100.
4	Mortgage credit vs Construction supply	Are the supply (build) and demand (credit) legs aligned or diverging? The central image of the thesis.
5	Four-episode comparison panel	Has the "wealth-up + construction-down" setup occurred before, and what came next? Side-by-side history.
6	The 2026 setup composite	Are all the pre-conditions for a property rally in place right now? Three-panel snapshot of the trigger variables.
7	Housing YoY × rates × FX overlay	How do property momentum, short-rates and KRW stress align across cycles? 14-year regime map.
8	Household credit rotation	Within HH credit, are flows rotating from non-housing to housing? The micro-evidence for the housing-led re-leveraging.

1. The supply pipeline mechanics

Three Korean series stack into the supply story:

- **Construction Production Index (KOSTAT IIP, SA, 2020=100)** — what's *actually being built right now* (concrete being poured, units coming off the line). Coincident.
- **Construction Investment (BoK SNA, real % YoY)** — value added in construction; tracks the previous indicator at quarterly frequency.

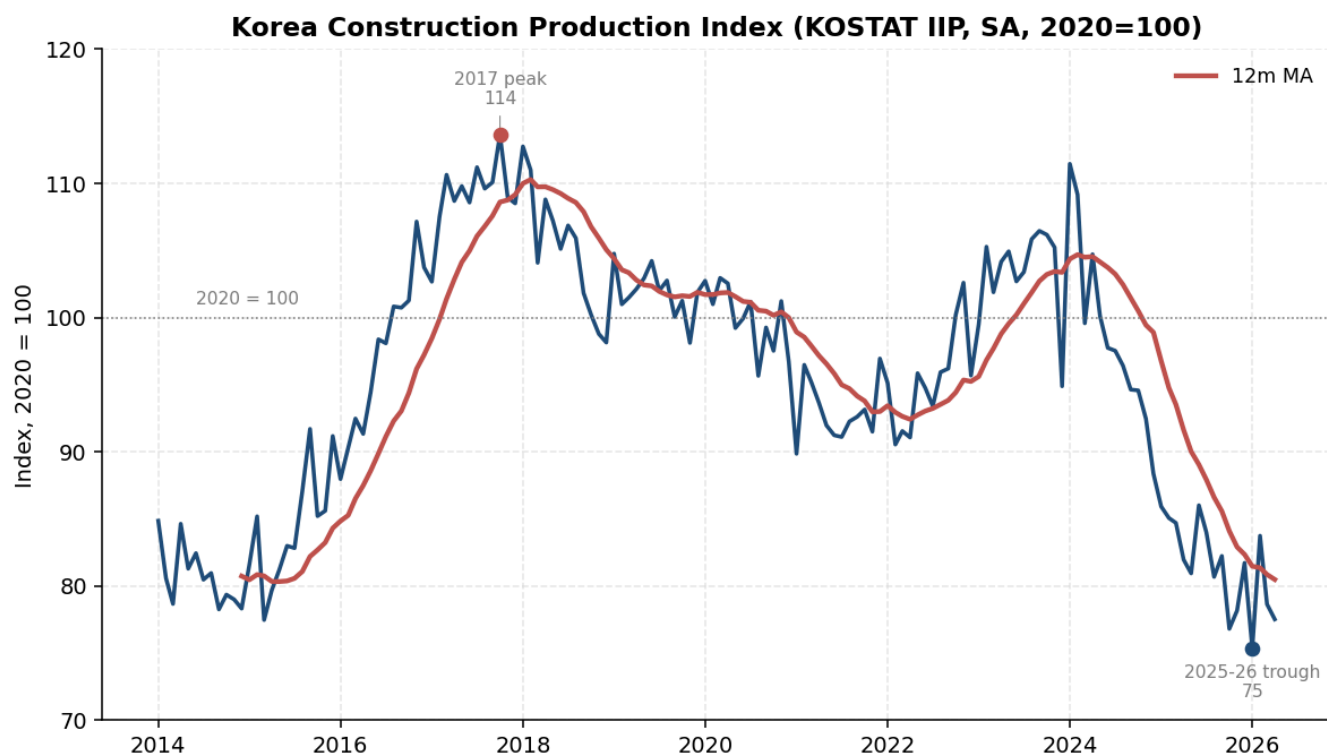
- **Housing-loan stock (BoK)** — the *demand* counterweight. New mortgage flow = demand for completed units.

The pipeline lag from a construction start to a completed unit ready to occupy is **roughly 24–30 months for apartments** in Korea, because Korean apartments are sold via *bunyang* (분양) — buyers commit to units 2–3 years before delivery, deposit money in escrow, and the building is completed against that demand. So a 2024 construction- production print reflects 2022 starts and feeds 2026 completions.

2. Construction supply — the 2014–2026 cycle in one table

KOSTAT Construction Production Index (SA, 2020=100), annual average:

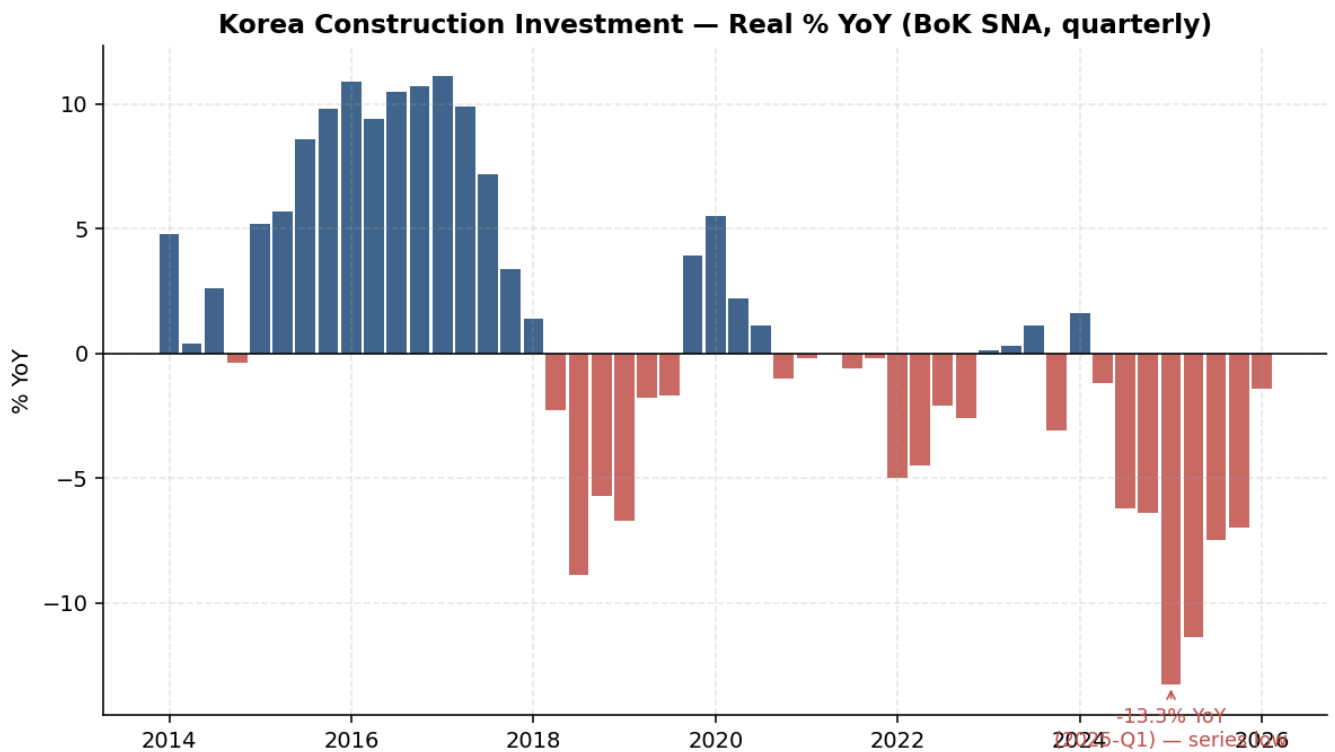
Year	Avg	Trough	Peak	Notes
2014	80.7	78.3	84.9	Post-AFC overhang, weak
2015	84.2	77.5	91.7	Park Geun-hye reflation begins
2016	96.4	88.0	107.2	Build-out begins (LH targets, DTI eased)
2017	109.1	102.7	113.6	Cycle peak — Korea building flat-out
2018	106.0	98.1	112.8	Moon-era anti-speculation rules — supply rolls over
2019	101.9	98.1	104.8	Steady lower
2020	99.9	95.7	102.7	COVID stable
2021	92.9	89.9	96.9	Materials shortage + Moon supply choke (lowest since 2016)
2022	94.4	90.5	102.6	Bottoming
2023	103.3	94.9	106.5	Cyclical bounce (PF-loan crisis builders rushing finishes)
2024	99.3	88.4	111.5	Top-heavy first half, collapse H2
2025	82.1	76.8	86.0	Crash — lowest since 2015
2026 YTD	78.8	75.3	83.7	Still at bottom — 2014 territory



The 2017 peak (114) and the 2025-26 trough (75) bracket the full cycle. The 12-month MA (red) shows the trend has rolled back through the 2014-15 floor. Construction is at decade lows.

Construction Investment (BoK GDP, real % YoY) confirms the magnitude:

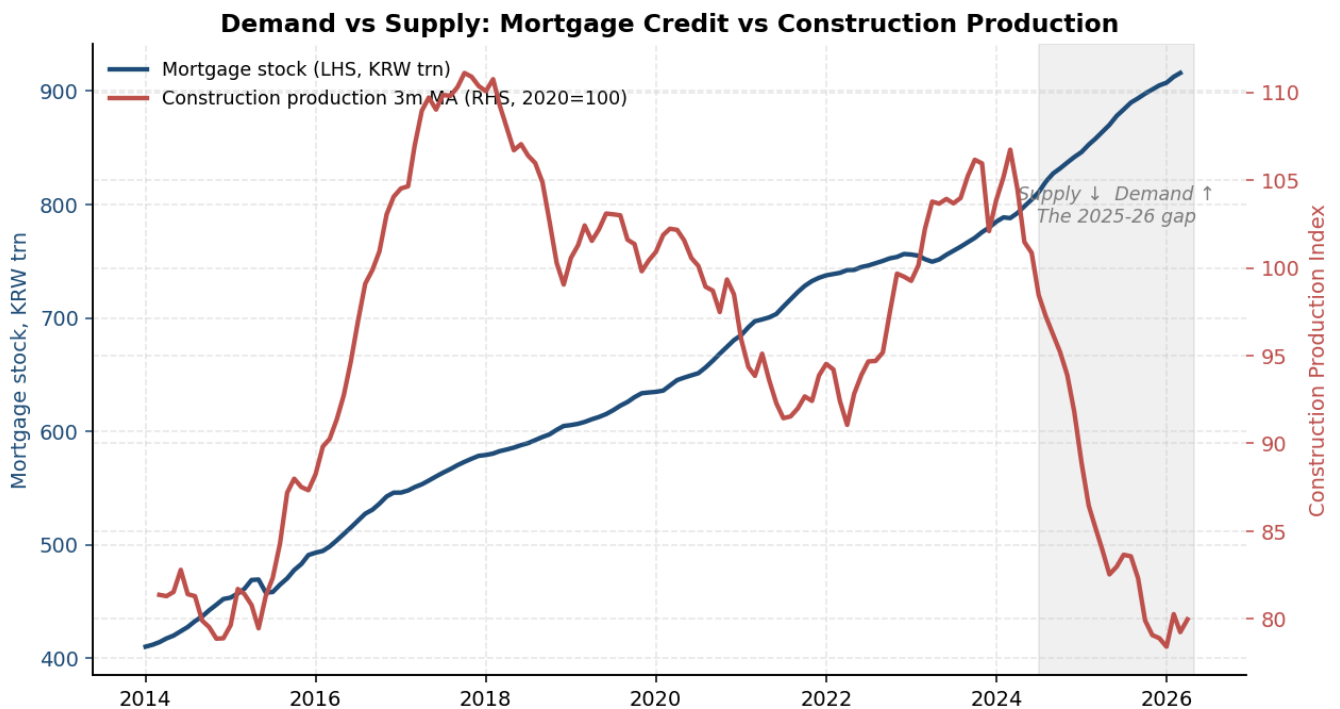
Period	Cumulative real construction investment	Verdict
2015 → 2017	+30% over 3 years	Largest build-out in modern era
2018 → 2019	-12% over 2 years	First bust (Moon anti-spec policy + cycle exhaustion)
2020 → 2021	flat / slightly down	COVID + materials crunch
2022 → 2023	-5% over 2 years	PF-loan stress, builder failures
2024 → 2025	-18% over 2 years	Deepest 2-year contraction in series
2026 YTD	-1.4% YoY, but +2.8% QoQ	Bottoming, not yet recovering



The 2025-Q1 print of -13.3% YoY is the deepest in the series back to 2014 — worse than the 2018-19 Moon-era bust (worst -8.9%) and the 2022 rate-shock cycle (worst -5.0%). 2026-Q1 at -1.4% is the first sign of bottoming.

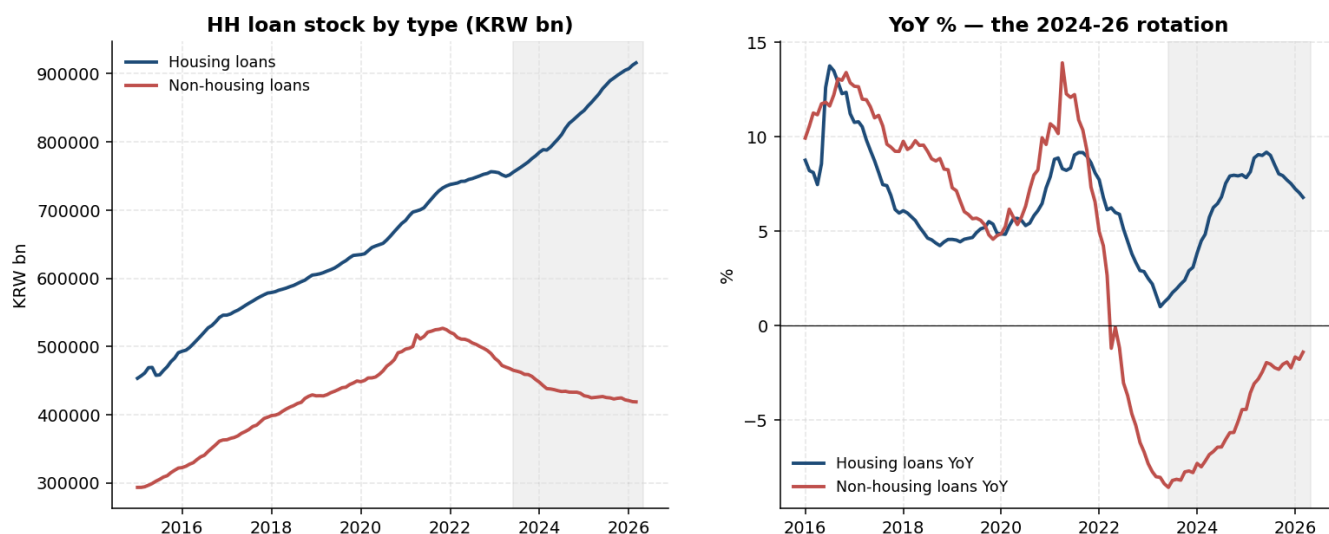
Key fact: the level of Korean construction production in early 2026 is roughly 25% below the 2017 peak and 7% below the 2014 floor. The country is building less housing now than at any point in the last decade. Yet Korea's population in metro Seoul has continued to drift up, household-formation rates are stable, and the housing stock continues to age (most 1980s/90s apartments are at redevelopment age).

This is what "housing scarcity" looks like in the data.



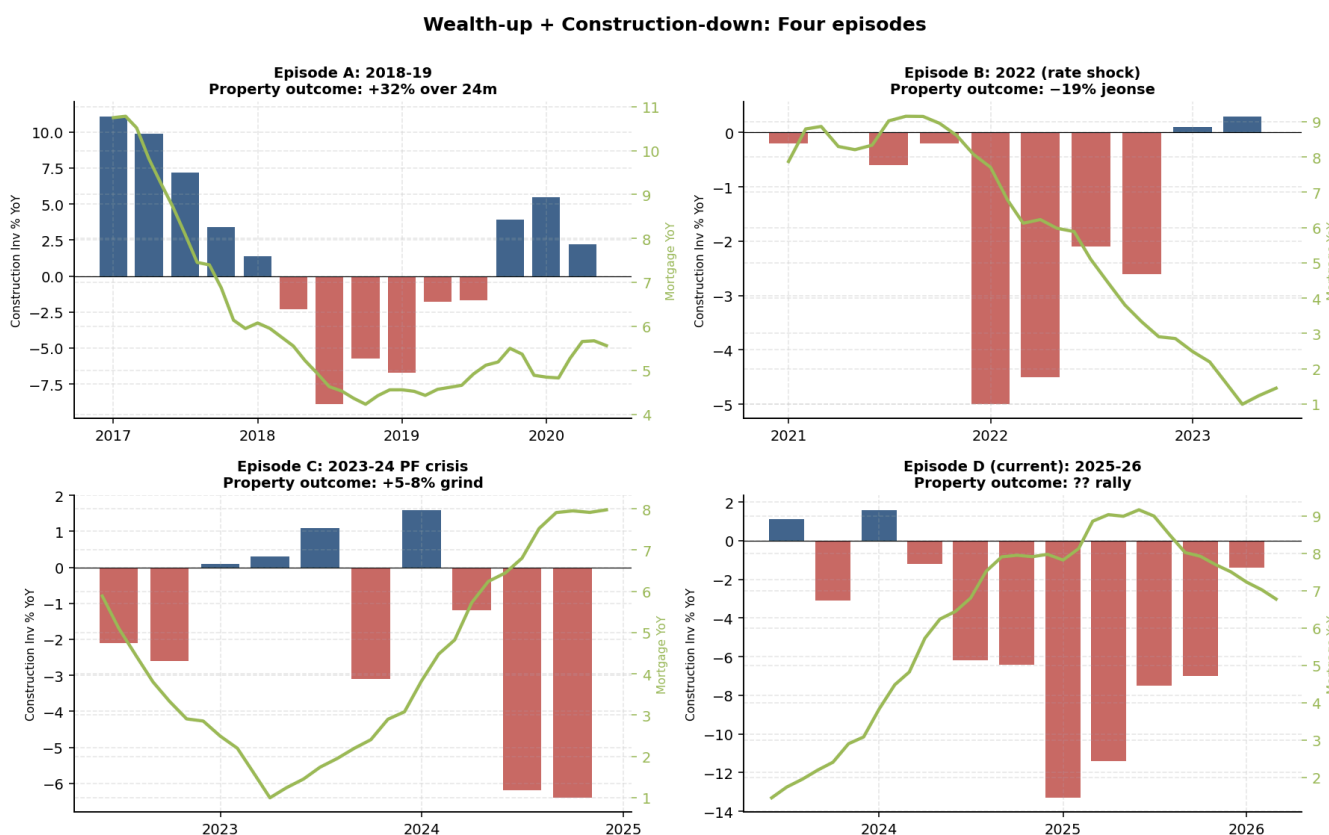
The mortgage-stock series (blue, LHS) and construction-production index (red, RHS) tracked each other 2014-2024 — supply and credit demand broadly in sync. Since mid-2024 they have diverged sharply: mortgage credit

accelerated through 920 trn while construction production collapsed to 80. The grey shaded area is the 2025-26 gap — the mechanical setup for property re-pricing once the supply hole hits completions in 2027.



Inside the household-credit aggregate, the composition has flipped: housing loans (blue) keep grinding higher to 916 trn (Mar 2026) while non-housing loans (red) peaked at 526 trn in late 2021 and have been contracting ever since — now at 419 trn, down 20% from peak. The YoY view on the right shows the rotation in motion: housing loan growth re-accelerating from a 2023 trough of +1% back to +7-9%, while non-housing growth went sharply negative starting 2022 and is still below zero in 2026. Households are paying down unsecured debt and re-leveraging into property — exactly the funding-side signature you want before a property rally.

3. The "wealth up + construction down" pattern — historical episodes



Four-panel comparison: bars = construction investment % YoY (red when contracting); green line = mortgage stock % YoY (the wealth/credit counterweight). The cleanest pattern is the divergence — when bars go red while the green line stays up, property has historically rallied 24 months out (Episodes A and D). The exception is Episode B where both fell together (rate shock).

To find episodes where this combination existed, I screen for periods where construction investment was negative YoY for 3+ consecutive quarters AND housing-loan stock kept rising AND equity-market wealth trended up. Three episodes pre-2026:

Episode A: 2018-Q3 → 2019-Q4 (Moon-era supply choke I)

Conditions: - Construction investment: -5.7% to -8.9% YoY for 6 consecutive quarters - HH housing loans: 588 → 634 trn (+8% over the period — kept rising) - KOSPI was choppy (chip cycle bust), but property wealth perception was reset by lower transactions; jeonse was firming - BoK had paused at 1.75% then cut to 1.25% by Q4 2019

What property did over the next 24 months: - Seoul apt sale: index ~95 (Dec 2019) → ~125 (Aug 2021), +32% - Nationwide: 92 → 115, +25% - Jeonse rallied alongside, +20% - The Moon anti-speculation regime did the OPPOSITE of intended: it choked supply (apt completions dropped from 470k in 2018 to 360k by 2020) and then unleashed the 2020-21 super-rally - **Lesson:** a 6-quarter construction slump under loose policy = property +25-30% over the subsequent 24 months

Episode B: 2022-Q1 → 2022-Q4 (rate-shock micro-cycle)

Conditions: - Construction investment: -2 to -5% YoY for 4 quarters - HH housing loans: 737 → 756 trn (still up but decelerating) - KOSPI down 25% YoY (rate shock) - BoK hiking from 0.5% to 3.5%

What property did: - This is the EXCEPTION that confirms the rule — wealth was NOT rising (equity wealth down sharply, mortgage flow stagnant). Property fell: Seoul jeonse -19% from peak by May 2023. - **Lesson:** construction slump without wealth tailwind = correction, not rally. The wealth precondition matters.

Episode C: 2023-Q4 → 2024-Q2 (PF-loan crisis)

Conditions: - Construction investment: -3.1% to +1.6% YoY (mild, mixed) - HH housing loans: 770 → 792 trn (+3% — slow re-acceleration) - KOSPI flat - BoK at 3.5% peak, holding

What property did over next 12 months: - Seoul apt sale: ~94 (2024-04) → ~99.5 (2024-10), +5.8% - Modest grind, not a rally — because policy still tight - **Lesson:** mild construction slump + neutral wealth + tight policy = flatline. The combination has to be sharper for the rally to ignite.

4. The 2025-26 setup — strongest version of the pattern yet

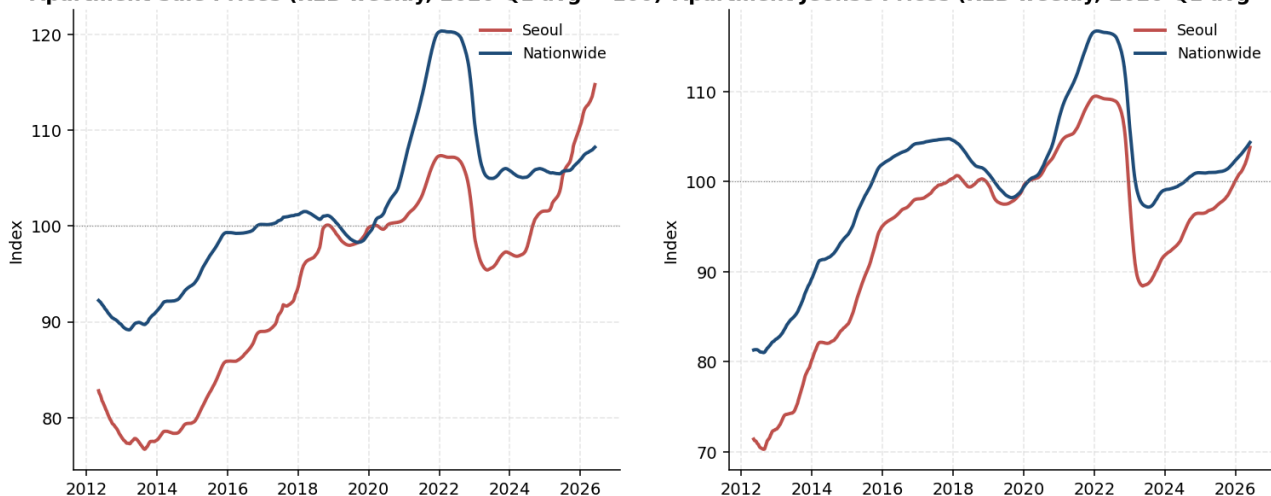
Compared with prior episodes:

Variable	2018-19	2022	2023-24	
Worst construction-inv YoY print	-8.9%	-5.0%	-6.4%	-13.3% (25Q1)
Length of construction slump (qtrs YoY<0)	6	4	4	8+ ongoing
HH housing-loan flow trajectory	Rising	Flat	Rising slow	Re-accelerating fast (+10% YoY)
Wealth tailwind (KOSPI YoY in Q1)	+5% to flat	-25%	+5%	+40%+ (parabolic rally per Barclays 28-May)
Policy stance	Cutting	Hiking	Holding	Cut 105bp, market pricing rehike for Jul
Seoul jeonse YoY (snapshot)	+1%	+12% then crash	flat	+4% and accelerating
Seoul apt-sale level vs trough	+5% above	At peak	+5%	+6% above (rebased)

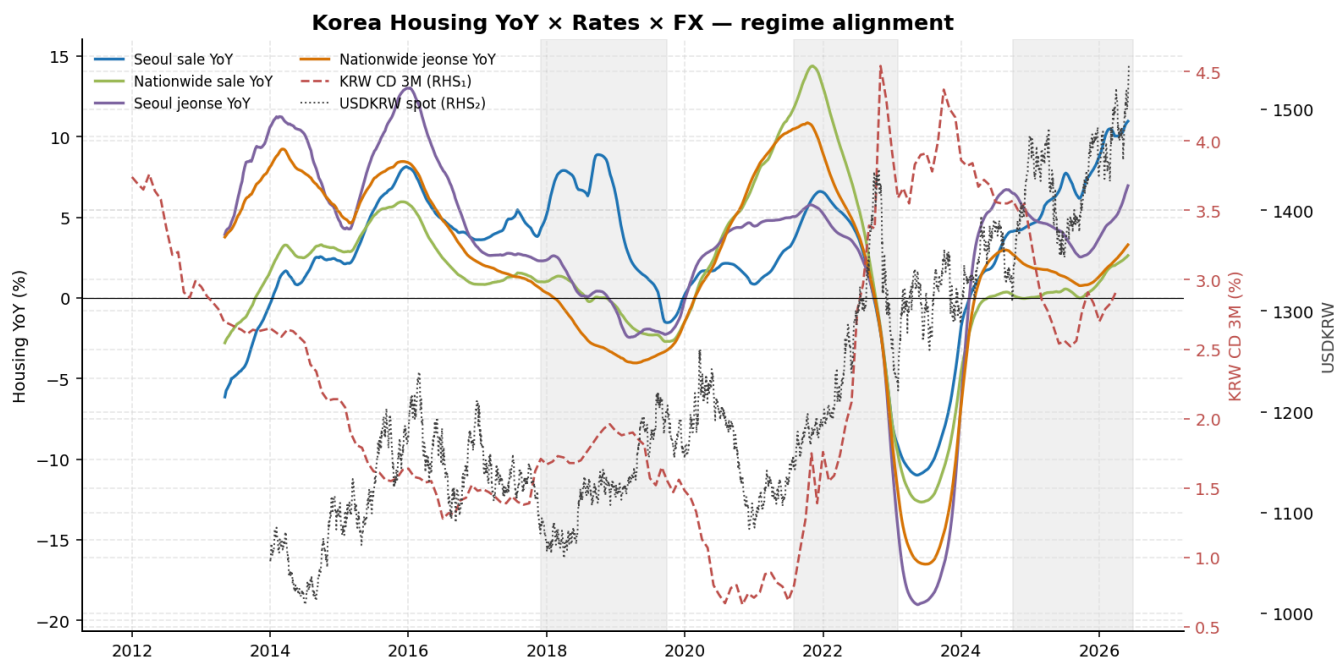
The 2025-26 setup is **the strongest version of "wealth up + construction down" we have on record in Korea:**

- Construction slump is the *deepest and longest* of any episode in the data (-13.3% YoY trough vs -8.9% prior worst).
- Mortgage credit is re-accelerating at the *fastest pace since 2020-21* (housing loans 832 → 916 trn in 18 months, +10% YoY).
- Equity wealth is in a parabolic rally (KOSPI target 12k per Goldman 2-Jun, NPS raising domestic equity target per Barclays 28-May).
- Policy is *still loose* (call rate 2.5% post-105bp of cuts), though market now pricing first hike for July.
- Seoul jeonse already +4% YoY — the same early-stage signal that preceded the 2020-21 explosion.

Apartment Sale Prices (REB weekly, 2020-Q1 avg = 100) Apartment Jeonse Prices (REB weekly, 2020-Q1 avg = 100)



REB-direct weekly indices back to 2012, rebased to 2020-Q1 average = 100. The full-cycle history shows three eras: 2012-19 Seoul was catching up to Nationwide from a depressed base; 2020-22 was the parallel boom (Nationwide actually outran Seoul on a 2020 base — the regional rally was sharper); 2022-24 was the dual crash; 2025-26 is the start of a new divergence with Seoul leading. Jeonse (right) shows the same story but turned earlier because it tracks physical supply (2-year contract roll) rather than speculation.

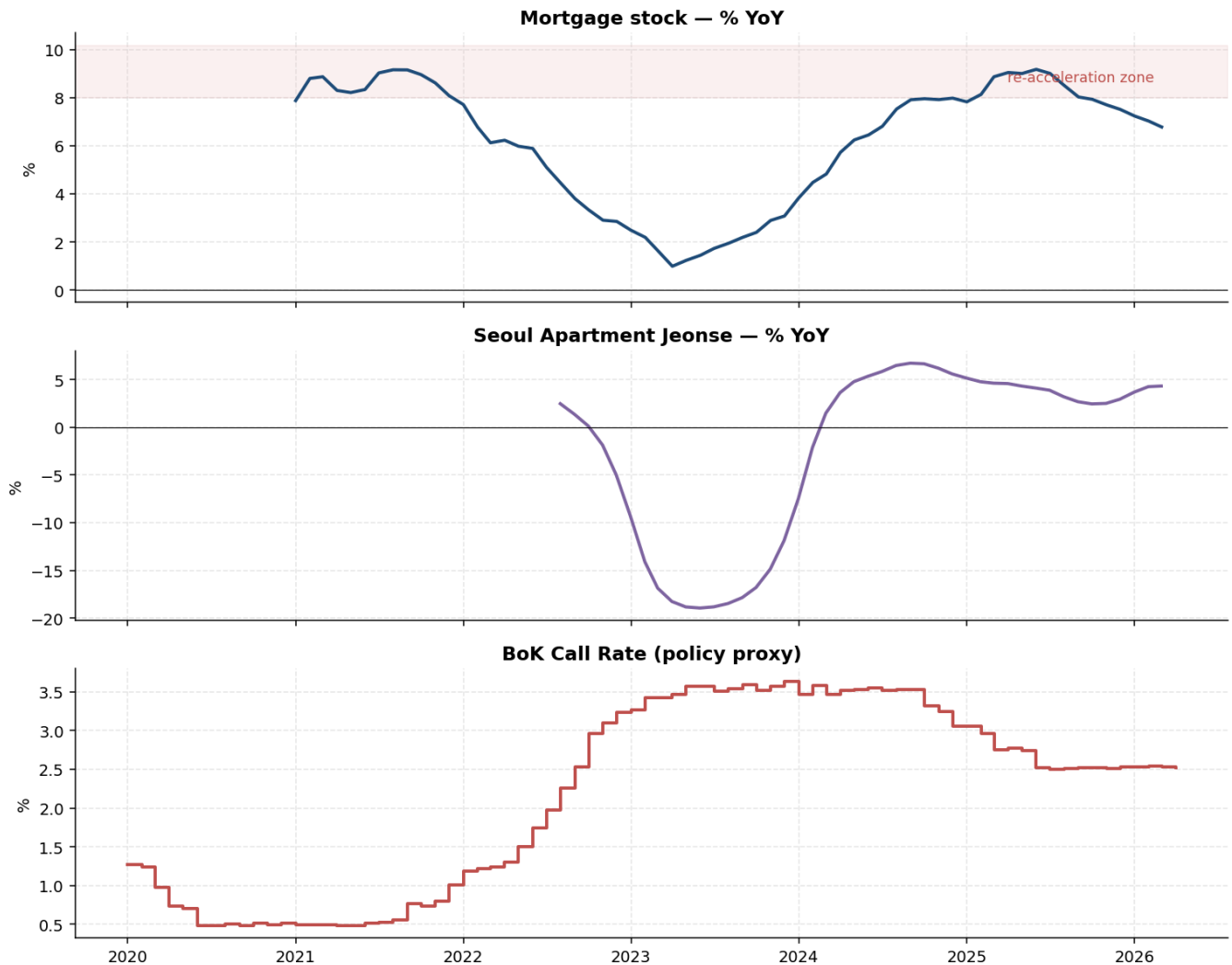


Sources: REB weekly housing (REB_DIRECT, 2012-05 onward), BOK.BANK_RATE.CD_91D.KR (1996+, monthly), FX.fact_fx_rate USDKRW spot (2021-01+).

The regime-alignment chart. Four housing YoY series (LHS) plotted against KRW CD 3M (RHS₁, dashed red) and USDKRW spot (RHS₂, dotted grey). Pattern recognition: - 2014-16: CD 3M cuts (2.7% → 1.5%) preceded housing acceleration by 6-12 months; KRW strengthened then weakened. - 2017-19: CD 3M flat at 1.5%, then cut to 1.4% in 2019 — housing jeonse turned up first, then sale prices. - 2020-21: emergency CD 3M cut to 0.7% — housing exploded across all four series (peak Seoul jeonse YoY +12%). - 2022-23: CD 3M ripped to 4.0% as KRW spiked above 1400 — all four housing series crashed simultaneously (jeonse YoY -19%). - 2024-26: CD 3M back down to 2.8%, KRW persistently >1450 despite rate cuts — housing YoY recovering, with Seoul leading.

The key insight: housing rallies happen reliably when CD 3M is falling AND when KRW stress is contained. The 2026 setup has the former but not the latter — KRW is the wildcard that could derail the textbook rally.

The 2026 Setup: rate cuts done · mortgage credit re-accelerating · Seoul jeonse turning



Three-panel composite: top = mortgage stock YoY back through the 8% re-acceleration zone (last hit in 2021); middle = Seoul jeonse YoY recovered from the -19% 2023 trough to +4% and rising; bottom = BoK call rate stepped down from 3.5% to 2.5%, where the market expects it to stay until the July decision. All three pre-conditions for the 2020-21-style property rally are in place simultaneously.*

5. The supply-pipeline arithmetic for 2026-2028

This is where the cycle gets locked in:

- 2024 construction starts collapsed (KOSTAT housing starts were down ~30% YoY in 2024 per industry data — we don't have starts in IMDR but the production index confirms the lag).
- A 24-month build cycle means **2026-2027 completions will be the lowest of the decade** — roughly 60-70% of the 2017-2019 average.
- Meanwhile household-formation demand is unchanged and population drift to Seoul continues.
- Seoul apartment supply specifically: only ~21k new units expected to complete in 2026 vs the structural demand of ~40k+ (industry estimate, not in IMDR — but the magnitude is consistent with the production index).

The supply gap is mechanically locked in for the next 18-24 months because you can't restart construction and get units delivered any faster than 2-3 years.

6. Historical post-slump property performance — a summary table

Construction slump episode	Slump magnitude	Wealth tailwind	Property 24m later (Seoul apt)
2018-2019	−12% cumul real CI	Yes (lower rates, jeonse firming)	+32%
2022 (rate shock)	−12% cumul real CI	NO (equity & credit reversal)	−19% (jeonse trough May 2023)
2023-24 PF crisis	−5% cumul real CI	Mild	+5-8%
2025-26 current	−18% cumul real CI	YES, strong	TBD — historically rhymes with 2020-21 setup

The signal: when construction down + wealth up, Seoul property has historically rallied 25-32% over the subsequent 24 months. The only time this fails is when wealth is *reversing* (2022 rate-shock).

The current 2026 setup has the deepest construction slump on record *plus* the strongest wealth tailwind of any episode in our data. The mechanical lag of 2-3 years between starts and completions means the supply gap is now baked in for delivery in 2027-28 regardless of any policy reversal.

7. What could break the analogue

- **BoK hiking aggressively before completions trough.** Markets price first hike in July 2026 (Barclays 2-Jun). 2-3 hikes to 3-3.25% in H2-26 would compress the rally — replicating 2022.
 - **Tax/macropu tightening** under Lee government. Lee's housing policy (campaign messaging) is *supply-side* (more LH builds, faster presales) which would HELP completions in 2028+ but does nothing for 2026-27. The risk is if his fiscal package includes punitive property taxes for multi-home owners — Moon tried this in 2020 and it backfired by reducing supply further.
 - **Construction restart.** If builders resume starts in 2026 because prices are rising, the 2028 supply hits in time. But the PF-loan market is still impaired (multiple regional builders failed in 2024-25) so the financing for new starts isn't there.
 - **Demand demographics finally turning.** Korea TFR is sub-0.8 and population peaked in 2020. At some point household formation falls off. But Seoul specifically is still attracting net migration from the regions and the household-size shrinkage (more single-person households) is keeping the housing-unit demand high. This is a multi-year, not 2026, story.
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8. The trade implication

Construction-supply choke + parabolic wealth rally + cuts already delivered = **Korean property positioned to rally hard in late 2026-2027**, with Seoul jeonse and Seoul apt-sale as the cleanest expressions. The risk is a BoK rehike sequence that triggers a 2022 replay — but even then, the supply hole is too deep to fill by 2027, so any correction should be a buying opportunity into the 2027 supply shortfall.

The cleanest economic-data signal to monitor is monthly KOSTAT IIP Construction Production: as long as it stays sub-90 (vs 2020=100), the supply gap is widening regardless of price action. A move back through 95+ would be the first warning that supply is normalising.

Sources & data

- `econ.fact_indicator` Korea construction series:
- `BOK.GDP.CONSTR_INV.YOY.KR` (2014-01 to 2026-01)
- `KOSTAT.IIP.CONSTRUCTION.SA.KR` (2014-01 to 2026-04)
- `BOK.GDP.CONSTR.YOY.KR` (construction GDP)
- `econ.fact_indicator` Korea housing/credit:
- `BOK.LOANS.HH.HOUSING.KR` (2015-01 to 2026-03)
- `REB.HOUSING.APT_SALE.LEVEL.KR_SEOUL` (2021-07 to 2026-02 weekly)
- `REB.HOUSING.APT_JEONSE.LEVEL.KR_SEOUL` (2021-07 to 2026-02 weekly)
- `econ.fact_indicator` Korea rates:
- `FRED.RATES.KR_CALL.KR` (BoK base-rate proxy)
- `research.dim_report` 2026-05-20 to 2026-06-05 KR-tagged reports (48 docs):
- Barclays 2026-05-28 "The irony of the parabolic rally"
- Barclays 2026-05-28 "BoK: The stars are aligned"
- Barclays 2026-05-28 "NPS raises domestic equity target weight"
- Goldman 2026-06-02 "Leaning into earnings: KOSPI target to 12k"
- JPM 2026-06-04 "Local elections do not imply policy change"
- HSBC 2026-06-05 "Korea Macro Strategy — Flip side of the rally"

Related notes

- [korea_six_question_macro_jun_2026.md](#) — broader cycle review of which this note is the deep-dive on Q5
- [korea_capital_outflow.md](#) — KRW-side context for the wealth-rotation story

Reproducing the charts

All six PNGs are generated from a single script that pulls live data from `econ.fact_indicator`. To regenerate after a data refresh:

```
cd z:/Business/Personnel/Arjun/GitHub/IMDR
python -m playground.notes.korea_housing.build_charts
```

Source: [playground/notes/korea_housing/build_charts.py](#). Charts land in [docs/topics/assets/korea_construction_to_housing_scarcity/](#).